

Illustration by SIDDHANT JUMDE

year to deliver a positive return over the full year. For example, in 2017, the Sensex witnessed a fall in the first quarter only to end the year with 28 per cent gains. Then, again in 2020, the Covid pandemic witnessed a steep fall in the markets in the first three quarters only to end the year with a 15 per cent gain. These market corrections are more common than you might think and, as an investor, you need to know that, historically, there are occasional pullbacks that are followed by rebounds. The data for the past 24 years of the Nifty indicates that there have been more years (14 years) when the markets have posted more than 10 per cent returns and only four instances when the markets have ended the year in a loss. Here are some strategies to cope with market volatility:

↘ Love a market correction: Patience is a virtue when investing in the stock markets. Warren Buffett has given this age-old wisdom a fresh spin: "The stock market is a device for transferring money from the impatient to the patient." Smart investors look out for opportunities when the markets fall. For them, a drop in the markets is like a discount sale at the mall and they feel good every time the market corrects, as they look for opportunities.

Just like you don't stop venturing out to perform your routine chores because the weather gets too cold or hot, the same goes with investments. You are investing or are invested because of a financial goal or need. This need doesn't change because of changes in market conditions. You can arm yourself with the wisdom of how others have weathered market falls, you could develop your strategies to come through market downturns effectively. The first step during a market fall is to not panic, and step back and think about why you have invested in the first place. By resisting the herd mentality and focusing on long-term investment goals, investors can often find opportunities amidst the chaos.

A DIVERSIFIED PORTFOLIO ACROSS STOCKS, COMMODITIES AND DEBT INSTRUMENTS CAN HELP MODERATE OVERALL PORTFOLIO VOLATILITY

↘ Stick to your plan: Your investment decisions are based on your financial goals and factors in your risk tolerance and time horizon for the goal. Remember, investing is a long-term endeavour and market corrections are temporary disruptions in the broader trajectory of market growth. For instance, if you are investing for a 7-10-year time frame and a market correction occurs in the third or fourth year of the goal, you still have some time before making any hard decisions.

However, if you were in the eighth year of a 10-year time frame for a goal, you would need to step in to make harsh decisions. To address the volatile nature of the stock market, it is recommended that you start shifting to a less aggressive and volatile investment instrument as you approach your financial goal instead of being in the riskier equity asset class.

↘ Diversification: A well-diversified portfolio can mitigate the risks associated with market corrections. By spreading your investments across different asset classes, you can reduce exposure to any single market fluctuation. This strategy can help cushion the impact of a correction on your overall portfolio and has proven to work for most investors.

↘ Staying informed: When you invest, you cannot stay off news, especially market-related news. This doesn't mean you have to stay up watching every headline or